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CONTRACT Nº .....

This Agreement, made and entered into this ..... day of ..... by and between :
..... as the first party, represented by Mr. ..... for this act,

AND

..... as the second party, represented by Mr. ..... for this act,

Both parties mutually recognize to have legal capacity to contract, and mutually agree to establish the following :

CLAUSES

FIRST.- Definitions. For the purposes of this Agreement the following expressions have the meanings set forth below :

a) OWNER : ....., with legal address at ....., or natural or juridical person acting as his delegate.

b) CONTRACTOR : .....

c) OWNER's REPRESENTATIVE : Mr. ..... and as speaker before the CONTRACTOR for matters in relation to this CONTRACT and in accordance with its provisions.

d) CONTRACTOR's REPRESENTATIVE : Mr. ..... acting as a representative of ..... being sufficiently empowered to act in all matters in connection with this CONTRACT.

The OWNER's REPRESENTATIVE at field, Mr. ..... shall be previously informed of the actions of the CONTRACTOR's REPRESENTATIVE.

The OWNER reserves the right to dismiss the person actin as CONTRACTOR's REPRESENTATIVE and deprive him of all his functions as such any time as the sees fit.

<u>SECOND</u>.- Purpose of the Agreement. This CONTRACT refers to the services to the rendered by ..... for the construction of .....

The CONTRACTOR undertakes to execute said works in strict accordance with the documents prescribed in the Third Clause of this CONTRACT and with the official rules in force in Spain at present.

THIRD.- Contractual Documents. The below listed documents are considered as Contractual documents, which are binding in accordance with this Contract and are listed by order of priority:

This Contract

Material requisition (RM nº .....) and all documents mentioned in the same, as well as complementary documents furnished to the CONTRACTOR during the execution of the work for its correct development.

Schedule of unit prices of the final tender dated ..... which correspond with documents sent for the invitation to tender.

Work program signed by both parties.

List of unit rates of the final tender dated .....

Remainder of the CONTRACTOR's invitation to tender dated .....

In case of contradiction between two of above documents, the one quoted in first place shall prevail.

In the event of insufficient information on a certain subject, the most complete and best defined information found in those documents shall be adopted to the OWNER's judgement.

The CONTRACTOR shall be responsible for the consequences deriving from any existing error and not reported by his after the checking of the drawings carried out prior to the signing of this Contract and also of the drawings handed over during the execution of the works.

<u>FOURTH</u>.- Attached drawings and documentation. Drawings and technical documents handed over to the CONTRACTOR are the property of the OWNER and shall only be used to carry out the work exclusively. The CONTRACTOR shall properly maintain and custody the necessary copies at site for the correct execution of the work.

Two copies of detail drawings and complementary documents to be prepared by the CONTRACTOR for the various activities which require the OWNER's previous approval shall be submitted to the OWNER with sufficient time in advance. The OWNER's approval shall not relieve the CONTRACTOR from his responsibilities deriving from the Contract.

The drawings to be prepared by the CONTRACTOR shall be in agreement with the rules established by the OWNER, both in regards to units and identification, numbering, edition and formats. After approval of such drawings, the CONTRACTOR shall deliver to the OWNER one reproducible and three copies duly signed.

<u>FIFTH</u>.- Cost of the works. The final amount shall be the result of applying the unit prices in the price schedule to the work units measured as indicated in the Technical Specifications.

Present Contract refers to .....

The total estimated cost at the time of the signing amounts to ..... euros.

Said prices are inclusive of all necessary expenses for total execution of the work units, with the sole exception of Added Value Tax (IVA), and in accordance with drawings and documents included in the Third Clause.

<u>SIXTH</u>.- Materials and execution. The CONTRACTOR shall supply the materials with the quality prescribed in the Technical Specifications and Drawings. Any change of materials shall be previously approved in writing by the OWNER.

All materials which are not specified in the applicable specification or drawing must be approved by the OWNER, therefore, the CONTRACTOR shall be obliged to previously submit samples and prices of same.

The machinery, equipment and construction tools shall be in perfect conditions of use and shall be suitable for the work to be carried out, the OWNER may reject any of them if to his judgement any of them does not meet the necessary requirements of operation.

The CONTRACTOR shall submit to the OWNER's approval all execution procedures within are not sufficient defined in the Contract.

The CONTRACTOR shall have skilled personnel in each speciality and the OWNER shall be entitled to carry out as many tests and specified performance qualifications are deemed necessary to determine the degree of skill of such personnel. The cost of said tests and performance qualifications shall be for the CONTRACTOR's account.

<u>SEVENTH</u>.- Certification of initiation of the works. Within ten days after the signing of this Contract or Letter or Fax of Intent, a certificate shall be signed witnessed by the OWNER's representative, to give written evidence of the initiation of the works, such certificate becomes automatically a contractual document which sets the beginning of the works execution time.

<u>EIGHTH</u>.- Execution time limit. The execution time will be ..... broken down by areas and in accordance with the work schedule. The time shall start counting from the date of the signing of the certification of initiation of the works.

NINETH.- CONTRACTOR's Duties. The following among the CONTRACTOR's obligations, whose costs are deemed to be included in the quoted prices.

To hold the necessary meetings as often as indicated by the OWNER for a better follow-up and execution of the works under the Contract. Minutes of the meetings will be written which will be binding for the parties.

Installation, maintenance and removal of the necessary temporary services, leaving the grounds in the same conditions as when delivered by the OWNER.

Carry out the connection with the temporary services of tools and construction equipment of any type to power, light and water supply points indicated by the OWNER. The CONTRACTOR shall permit other Contractor's working in the area to connect to such points if requested by the OWNER. It shall be for the CONTRACTOR's account to make arrangements with them to support the costs as users of said services.

Supply when necessary generators of sufficient electric power at a hourly cost previously approved by the OWNER.

Construct and keep in good conditions the necessary temporary works to be able to carry out the works under this Contract.

Maintain work areas, accesses and roads free of obstacles, such as materials, debris and construction equipment used for CONTRACTOR's works during the execution of the work and store or station materials and construction equipment only in the areas determined by the OWNER.

Clean work areas and zones weekly where the work has been completed including service and storage areas and especially near the completion of the works.

The CONTRACTOR shall assign sufficient personnel for the cleaning of said areas, and the cleaning shall be carried out under his supervision to the complete satisfaction of the OWNER.

Perform all surveys and planimetries which are necessary for correct execution of the works starting from basic information given by the OWNER.

Do not withdraw any material from the OWNER's store not start any work until drawings, specifications and material lists corresponding to such work have been marked as "Approved for Construction".

Carefully check all drawings, specifications, lists and all other information furnished and immediately advise the OWNER of any error, interference, incompatibility or omission which may have been found by the CONTRACTOR.

Execute the works in a correct manner, using equipment and materials of good quality employing qualified personnel, foremen and specialists in sufficient number for good completion of the work and avoiding interferences with the works carried out by others.

Comply with all laws, regulations and rules in force, especially those referring to Social Security, Occupational Safety and Health and Environmental regulations.

Supply all materials, construction equipment, transport and scaffolding systems required for a suitable execution under adequate conditions of work safety, including but not limited to : welding electrodes (carbon steel and alloy), oxygen, acetylene, lubricants, solvents, fuel, explosives, air compressors, welding machines, pumps, cranes, rollers, extractors, forges, concrete mixers, concrete bath plants, leending machines, derricks, pulleys and winches, etc.

Request OWNER's previous approval for reduction of labour or withdrawing any equipment from site.

Supply the materials which may be necessary for suitable executions of the work, although not specifically indicated in the documents attached to this Contract.

Provide material, tools, equipment and personnel to carry out as many tests on materials or installations as may be required by law or by the OWNER, including the change of temporary installations, tools and equipment to complete the tests.

Carry out all preliminary and final tests on materials equipment and personnel in accordance with Technical Specifications, all for the CONTRACTOR's account.

When deemed necessary, repeat tests, especially when requested by Public Authorities, without claiming additional compensation of any type.

Maintain the completed parts of the work following the OWNER's instructions until final test and acceptance by same and maintain responsibility on same although the work is completed and accepted by the OWNER until expiration of the guarantee period.

<u>TENTH</u>.- CONTRACTOR's Personnel. If required by the OWNER, the CONTRACTOR shall furnish his personnel with documents of identification and / or badges supplied by the OWNER. In this case the CONTRACTOR's personnel shall display the badges in a visible place and shall have the identity card available when they are working at site.

Access to site shall not be permitted to personnel who does not comply with these requirements.

The CONTRACTOR shall submit workers' qualification cards to the OWNER for review.

The CONTRACTOR's personnel shall strictly observe all rules and regulations in force at site, especially those referring to safety, as well as all instructions given by the OWNER to this respect.

The OWNER may forbid entrance to site and may order to exped any person or persons who do not comply with the ordinances, or that refuse to comply with any of the Clauses of the Contract, especially those referring to safety rules.

<u>ELEVENTH</u>.- Relations among CONTRACTORS. The CONTRACTOR shall comply with all instructions given by the OWNER on all matters convening his relations with other CONTRACTORS in the work.

The difficulties which may arise from other works, which are being carried out in the vicinity of the CONTRACTOR's areas shall be accepted by his as a normal risk.

The CONTRACTOR shall have no right to extras or claims which arise from said difficulties or conditions, not these conditions shall be accepted as a reason for delay or noncompliance of his contractual obligations.

The CONTRACTOR shall accept all restrictions and costs deriving from the fact that he has to work with other CONTRACTOR's in the same area and shall accept the priorities established by the OWNER.

The CONTRACTOR waives a right to file a claim as compensation for any inefficiency resulting from the above.

The OWNER shall act as an arbitrator in all controversies among the CONTRACTORS which may affect the work on site. The OWNER's decision shall be final and unappealable.

TWELFTH.- Reports. The CONTRACTOR shall deliver all documents indicated in the form fitted "Required documents and date" at the OWNER's offices or other place which may be designated.

The CONTRACTOR shall supply the below information during the course of the works:

At the commencement of the work, with the subsequent updating which may be necessary: staff organizational chart, curve of execution of physical units, man-hours curve and availability table with dates of plant and equipment.

Daily :

a) A list of personnel used the day before, indicating man-hours by categories for the various zones or work areas.

b) Report of the work carried out the day before indicating the executed quantities.

c) List of the personnel working on a unit rate work basis. This list shall be approved by the OWNER and shall be used to check monthly invoices of unit rate work.

Weekly :

a) Report on Plant and Equipment used at site.

b) List of personnel indicating occupational category and number of CONTRACTOR's personnel and possible subcontractors used at site and their distribution by zones or areas indicated by the OWNER.

When requested by the OWNER, copies shall be furnished of all materials purchase orders which are a part of his supply indicating the dates when said materials will be received at site, and date and place where they may be inspected prior to shipment to site.

In any case, the cost of all above information shall be included in the value of the unit prices.

<u>THIRTEENTH</u>.- Follow-up, works control and penalties. The development of the various activities to be carried out under this Contract shall conform to the works schedule signed by both parties.

As a guarantee of compliance of the works schedule, the following points shall be complied with: the CONTRACTOR shall submit within fifteen days time from the date of the letter or telex of intent a detailed program based on fourth point of the Third Clause which will be used for the analysis of delays.

The CONTRACTOR shall submit every month an analysis of the progress of the works.

The noncompliance of the works schedule for reasons attributable to the CONTRACTOR shall give rise to application of penalties which shall be in direct connection with the established work schedule, exception made of the causes stipulated on the Twenty Eighth clause.

All penalties are independent and accumulative and the maximum limit of the sum of all penalties shall be 10% of the total amount of the Contract.

<u>FOURTEENTH</u>.- Contradictory prices. When it is necessary to use materials or execute work units which are not included in the list submitted by the CONTRACTOR, he shall submit new price.

The new prices to be fixed shall be based on the elementary costs indicated in the justification of unit prices integrated in the Contract, and in any case in the costs which correspond to the date of the Tender, in order to be able to apply the revision of prices.

An attempt shall be made by both parties to reach agreement prior to execution of the new work units.

If no agreement can be reached the CONTRACTOR shall execute the work unit and no extension of time shall be granted for this concept.

<u>FIFTEENTH</u>.- Price revision. The formula for price revision to be applied shall be as follows :

$$kt = 0.34 \frac{Ht}{Ho} + 0.18 \frac{Et}{Eo} + 0.18 \frac{Ct}{Co} + 0.13 \frac{St}{So} + 0.02 \frac{Mt}{Mo} + 0.15$$

The symbols and the manner of application shall be as indicated in the B.O.E. (State Gazette) nº 32, February 6th, 1964 and nº 31 December 29th, 1970.

The Contract shall be developed in accordance with prices agreed in it and therefore there shall be no cause for revision, whatever the costs oscillation may be, until at least twenty per cent of the estimated has been certified including possible variations according to Twenty Fifth clause, volume of work which shall not be considered susceptible of revision.

The coefficient determined by the palgnomial formula established for the revision shall necessarily be greater than 1.025 or lower than 0.975, as in opposite case the revision shall not proceed. the coefficient shall be obtained by replacing in the palgnomial formula the symbols of the indexes of prices shown on the same with the corresponding values established in the B.O.E. for the province of ..... for the month of the date. This coefficient, subtracting or adding 0.025 depending on whether it is higher or lower than the unit, shall be the coefficient to be applied to the certification.

The indexes published by the Ministry of Finance of the province of ..... shall be taken, the indexes of origin being those corresponding to the month of the date of the Tender.

In any case, work delays for reasons imputable to the CONTRACTOR shall be revised with the index of the month shown on the schedule established on paragraph four of the Third Clause of the program in force.

For the unit rate works the following formulas shall be applied :

Labour : $kt = 0.75 \frac{Ht}{Ho} + 0.25$

Machinery : $kt = 0.20 \frac{Et}{Eo} + 0.10 \quad \frac{St}{So} + 0.70$

Having the indexes of revision the same meaning and without applying deduction.

However, the analysis of delays in unit rate works shall not exist.

<u>SIXTEENTH</u>.-Unit rate works. Only the works requested by the OWNER in writing and with a previous agreement on the means to be used shall be carried out on a unit rate basis.

The format and type of the form shall be defined by the OWNER.

<u>SEVENTEENTH</u>.- Non estimated items. The items which form a part of the contents of this Contract which are not shown as specific measurement in the CONTRACTOR's Tender, shall be considered as non estimated items. The following procedure shall be followed for the valuation of these items :

Items considered as non estimated shall require the previous measurement of the work units and the valuation of same in accordance with the schedule of Unit Prices offered or possible approved Contradictory Prices.

<u>EIGHTEENTH</u>.- Book of Orders. A book of orders shall be opened on the date of the Certificate of Initiation of the Works and shall be closed on the date of the Final Acceptance. The book shall be kept by the CONTRACTOR and shall always be available to the OWNER.

The OWNER or his delegate shall write in the book the orders, instructions and communications deemed necessary which shall be authorized with the OWNER's signature.

NINETEENTH.- Monthly measurements. Within the first five days of each month, the CONTRACTOR shall submit a status report of measurements showing the executed quantities and the unit rate works carried out until the end of the previous month. The letter should be accompanied by a written authorization and the OWNER's approval.

This report shall give a description of the unit, number of price to which this unit refers to, and as many data and geometrical measurements or of other type are required to calculate the total measurement, referred to the corresponding monthly period, indicating the total of this unit carried out from origin and the total of the measurement made on the month of the date.

The measurement shall be accompanied by drawings and sketches with precise details for complete understanding, making reference to drawings and shetches.

All documents shall be submitted in original and four copies and its approval shall be carried out within five days maximum time from receipt. In case of disagreement in any work measurement the OWNER shall indicate what shall be certified, leaving the remainder for the next certification.

The CONTRACTOR shall request the presence of the OWNER when collecting data in those measurements or services which are not susceptible of subsequent checking. The CONTRACTOR shall also inform the OWNER immediately when rock and water are found.

In the event the CONTRACTOR does not advise the OWNER for said checking of measurements, the CONTRACTOR shall admit the measurement given by the OWNER.

<u>TWENTIETH</u>.- Bonds. At Contract signing the CONTRACTOR shall establish a bond of 10% of the amount indicated on the Fifth Clause of the concept of Guarantee of Faithful Compliance by means of Bank Bond.

If the amount of the works exceeds said estimated value, the 10% of the corresponding certifications shall be deducted, so that this guarantee is maintained at said 10%.

<u>TWENTY FIRST</u>.- Monthly Certifications. The payments will be made against monthly certifications of the executed work, duly signed with the OWNER's agreement.

The CONTRACTOR shall write and send to the OWNER a provisional certification of the works executed during previous month, in original and four copies.

The format of the certification shall conform to OWNER's format at all times.

Said certification which shall be received during the first twenty days of the following month to which the measurement refers to, shall contain a list of the measurements previously approved by the OWNER, a brief explanation of said measurement, number of order of the corresponding unit and applicable price shown in the unit price schedules or which has been approved by the OWNER.

The measurements shown in the Certification shall be totals of each unit, measured from the origin of the work.

Previous amounts already certified shall be deducted from previous total to obtain the amount to be collected corresponding to the month of the date.

The work certificates shall be revised monthly, either provisionally or finally, as the case may be. For the revision, the latest indexes of prices published shall be used if the indexes corresponding to the month of the certification have not been published yet.

When the indexes of prices pertaining to the month of the certification have been published, such provisional revision shall be normalized. The certifications for price revision shall be written in documents separately from standard certifications and shall have the same treatment.

On the total obtained and monthly the 10% guarantee retention shall be deducted if it is in agreement with the provisions of the Twentieth Clause, as well as the fines which there might be.

The acceptance of the certifications by the ONWER, which shall be made within ten days maximum prior from receipt, does not relieve the CONTRACTOR in regards to certified work, from carrying out the tests and checks deemed necessary by the OWNER in accordance with Thirty Second Clause, as well as repairs and / or necessary modifications in case of negative results.

<u>TWENTY SECOND</u>.- Manner of payment. The OWNER shall make payments to the CONTRACTOR with maturity date ..... days from date of certification after deduction of possible retention for guarantee and penalties, providing said invoices or certifications have been approved by the OWNER.

All payments made prior to the date of the Provisional Acceptance shall be considered as advance payment of account of the successful conclusion of the Contract.

All expenses deriving from the established manner of payment shall be for the CONTRACTOR's account.

TWENTY THIRD.- Insurance.

1. Prior to commencing the works the CONTRACTOR shall subscribe and maintain during the Contract time all risk coverage indicated below, except the insurance on pre-existing goods, which shall be subscribed by the OWNER.

a) **Social Security.** The CONTRACTOR shall be responsible for the exact and precise compliance of the labour and Social Security regulations which affect the personnel employed in the work under this Contract. Such personnel is considered at all effects under his exclusive responsibility, and shall therefore be obliged to pay the Social Security, according to the rates in force or which may be established in the future. The CONTRACTOR especially undertakes to cover the risk of any type of accident to referenced personnel ; keep suitably the necessary documentation required by law in regards to indemnity and hold the OWNER and his representatives harmless and free of all damages and exempt from payment of above Social Security fees as well as fines due to nonpayment or non compliance of any other labour and social obligations of the CONTRACTOR.

b) **Employer's liability Insurance.** Complementary to the above which shall cover possible differences between legal payments to Social Security and also legal payments which may deliver from a possible judicial intervention.

c) **Liability insurance.** The CONTRACTOR undertakes to have coverage of civil and third party liability insurance. All other Contractors, Subcontractors, OWNER and his representatives and other persons who are not linked to any of the mentioned entities are also considered as third party.

This coverage comprises the obligation to indemnify and exempt OWNER and his representatives from all expenses and damages, including lawyers bills and other legal expenses, which may arise from attributed responsibility as by lawsuit against the OWNER and his representatives for damages and bodily injuries, or damages caused to the property claimed by persons or person and attributable to vehicles, automobiles or trucks of his property or not, or rented, which are used in connection with the work or by any other reason resulting from or as a consequence of the development of the work under this Contract. Whether said bodily injures, deaths or damages to the property were due to negligence or to any other reason of legal responsibility.

d) The CONTRACTOR shall subscribe and shall be responsible for all his Subcontractors to subscribe insurance policy to cover damages and material losses of the machinery and equipment for construction. At any time during the execution of the works, tests and maintenances, the CONTRACTOR shall make sure that the interest of the OWNER and his representatives are included in said insurance policies.

The civil liabilities crossed among Contractor, Subcontractor and OWNER and his representatives are understood to be covered by the scope of the civil liability insurance. The claimant party being considered as third party and not forming part of the work when a claim is filed under this coverage.

The quantity insured for these concept shall amount to ..... euros.

2. **Responsibility of Subcontractors.** The CONTRACTOR shall be responsible for having all his Subcontractors covered by all above types of insurance previously indicated for the CONTRACTOR therefore he assumes all responsibility which may derive from non existence or insufficient coverage.

3. **Full risk coverage of construction and erection.** The CONTRACTOR on behalf of the OWNER and his representatives shall obtain an insurance policy on the work covered by this Contract, as well as on provisional works, including all material, equipment, machinery and other elements which are incorporated or may be incorporated to it (excluding however the machinery and construction equipment property of the CONTRACTOR or Subcontractors), incorporated to the work against all damages normally insurable by Insurance Policy against all construction risks (including plant tests if any) and such that the OWNER and his representatives, the CONTRACTOR and Subcontractors are covered by the same during erection, tests and maintenance during the Guarantee Period established hereunder.

4. **Coverage of pre-existing goods.** The OWNER shall subscribe an insurance policy for a value of damages to pre-existing installations and property of the OWNER, which is established at a value of .....

5. **Transport coverage.** At the time of proceeding with the transport of the equipment the CONTRACTOR's shall demand the coverage for all damages which may occur during transport to point of destination, namely until the last unloading.

All mentioned Insurance Policies shall be written and issued by Insurance Company or Companies which are acceptable to the OWNER, in which the following clause shall be included : "The OWNER shall be advised with ten days time of any intent of cancellation, termination or change of the Policy or Policies." The OWNER written approval shall be required.

The CONTRACTOR shall request from the insurance companies to furnish the OWNER with copies of the contracted policies. The companies shall also provide the payment vouchers of the Social Security upon the OWNER's request.

<u>TWENTY FOURTH</u>.- Safety. The CONTRACTOR is entirely responsible for complying with current legislation with respect of Occupational Health an Safety and Environmental Rules. The costs originated by these conceeuros shall be for this own account.

The Safety regulations established by the OWNER for these works shall also be complied with by the OWNER.

The negligence or non-compliance with said regulations on the part of the CONTRACTOR shall authorize the OWNER to take the disciplinary steps deemed adequate, going as far as to expelling the people involved, if deemed appropriate.

Expenses deriving from matters in connection with the steps taken by the Inspection of the Ministry of Labour of other competent official agency, shall be for the CONTRACTOR's account.

<u>TWENTY FIFTH</u>.- Extensions and reductions (variations) of the works or services. The CONTRACTOR shall compulsory execute the variations requested by the OWNER during the execution of the work or service in accordance with contractual conditions.

In those cases the following rules shall govern :

a) The cost of the variation shall not exceed 3% of the total contracted amount value according to Contract prices. This percentage shall also be applicable to the successive agreed variations which are made of the same Contract. The 3% of the variation may be attained in one of several variations.

b) The variations shall modify to all effects the times of completion, taking as a reference the last date established in the Contract of reach one of the objections affected by the variation as well as the progresses offered by the CONTRACTOR.

c) Within ten days from the date the OWNER has notified the variation, the CONTRACTOR shall submit a new program reflecting all kinds of changes implied in the variation. The OWNER shall notify in writing his approval or objections to the new program.

d) The CONTRACTOR may not claim any indemnity or compensation by cause of said variation.

e) Except the provisions in these conditions, the remaining rights and obligations agreed by the parties in the Contract, or which derive from any definition of legal nature, shall remain in force.

   In the event that a variation be greater than 30%, the parties shall negotiate new prices and times. One month time shall be granted to reach an agreement. If said time has elapsed and no agreement has been reached, any of the parties may unilaterally terminate de Contract without any additional economic compensation. The work shall be liquidated in accordance with the stipulations of the Thirty Sixth, Thirty Seven and Thirty Eighth clauses.

<u>TWENTY SIXTH</u>.- New works and modifications of completed works. In the event that modifications of completed works have to be made or new works have to be executed which are not covered by the Contract, as a consequence of alterations, changes of design, improvements of same, OWNER's decisions, etc., and providing these are work units defined in the Contract or assimilable to other defined works, the unit prices to be applied shall be the same as for works defined which are shown in the Price Schedule. Otherwise, the provisions of the Fourteenth clause shall govern.

<u>TWENTY SEVENTH</u>.- Permits and licenses. The CONTRACTOR shall be responsible for requesting in due time to carry forward and pay all expenses incurred by to obtain permits and licenses needed by the CONTRACTOR for execution of the works as specified on the Forty First clause.

The CONTRACTOR shall always have available to the OWNER and upon his request, all vendors and justifications of being up to date in payment of taxes, permits and levies, licenses, social security, etc., which are necessary for normal development of his own works.

<u>TWENTY EIGHTH</u>.- Force majeure. These are those happenings which cannot be foreseen or which are inevitable, such as war, earthquake, hurricane, etc. The construction or Contractor's strikes shall not be considered as force majeure.

In the event of strike not attributable to the CONTRACTOR, the same shall inform the OWNER in writing of the beginning of such strike for the purpose of fixing this date of mutual agreement. The date of the end of the strike shall also be notified, and the time of completion of the work shall be extended by the strike period plus an additional time for the concept of re-starting the work, cleaning, repairs, etc. of 10% on the duration of the strike.

The delays originated by the Subcontractor or CONTRACTOR's suppliers shall not be considered as force majeure in this case. Likewise, natural, phenomena such as rain, ice, wind, river flooding, against which the CONTRACTOR should have taken steps in anticipation, as these phenomena may occur and must be foreseen.

The storage of equipment or personnel caused by these natural phenomena have been foreseen by the CONTRACTOR in regards to repercussion in price and times, and no compensation shall be claimed for these conceeuros.

<u>TWENTY NINETH</u>.- Signalling and traffic during the works. The signalling of the works, accesses and adjacent areas, shall comply with the Traffic Code in force and the rules on highways signalling and with other which the OWNER may indicate inside the works area.

The CONTRACTOR shall install as many fences, signals, road signs, reflective signals of other type which may be indicated by the OWNER.

The traffic accidents and damages originated, attributable to the works or to the signalling shall be the CONTRACTOR's responsibility. The OWNER's approval or authorization of the system used shall not relieve the CONTRACTOR from his responsibility.

<u>THIRTIETH</u>.- Subcontracting. The CONTRACTOR may not subcontract any part or parts of the work without the OWNER's previous written approval.

<u>THIRTY FIRST</u>.- Labour hiring. Giving due consideration to the special employment offer circumstances prevailing in the zone at present, the CONTRACT shall attempt to hire the workers from the area, who are registered at the labour Employment offices, when the nature of the job to be carried out permits said contracting, and providing the works to be carried out require personnel additional to CONTRACTOR's permanent staff or do not require a high skill may reasonably be available in said zone.

The CONTRACTOR binds himself not to hire personnel from other CONTRACTOR's who are working for the OWNER, unless a previous written consent is obtained from said CONTRACTOR's and the OWNER.

All new hires or resignations of the CONTRACTOR's and Subcontractors' personnel shall be reported to the OWNER in advance and shall be reflected in the report listed on the Twelfth clause.

<u>THIRTY SECOND</u>.- Works testing and control. All tests and controls indicted in the Specifications shall be carried out in accordance with the procedures established therein, and the cost of said tests and controls shall be for the CONTRACTOR's account.

In order to proceed with the payment and subsequent acceptance of any work unit it shall indispensable to have the results of the Quality control of the corresponding unit showing evidence that the specified valves are met.

In the event tests and controls are carried out which are not defined in the documentation, both in type and in quantity, if the results are unfavourable the cost shall be for the CONTRACTOR's account, in opposite case they shall be for the OWNER's account.

Should de CONTRACTOR execute any work unit below the conditions stipulated in the Contract and the OWNER's judgement is that in spite of all such execution the work as acceptable for the intended purpose, it may be accepted provisionally and even finally but the CONTRACTOR shall be obliged to accept the reduction in price of the defective unit decided by the OWNER as a compensation of the lower different quality than the quality offered.

The CONTRACTOR may either accept this reduction or repeat the unit at his expense in accordance with CONTRACT conditions.

To repeat a defective unit shall in no case imply compensation or time extension.

<u>THIRTY THIRD</u>.- Completion of the works and Provisional Acceptance. When upon CONTRACTOR's judgement all works under the Contract have been completed he shall inform the OWNER in writing, indicating his desire of proceeding with the Provisional Acceptance.

As a preliminary steps, a document shall be signed by both parties with sufficient anticipative, indicating the degree of completion required to proceed with the Provisional Acceptance of the works.

The OWNER shall proceed with the Provisional Acceptance of the works within a time not exceeding fifteen days from the receipt of the CONTRACTOR's notice.

If the works are in good condition and in accordance with the stipulations in the Contract documents, the OWNER shall carry out the tests and trials deemed necessary. The payment of these tests shall be in accordance with the stipulations of the Thirty Second clause. If the results are satisfactory a certificate shall be written giving evidence that the Provisional Acceptance took place on such date.

The certificate shall be signed by both OWNER and CONTRACTOR.

In the event of possible defect or repairs, these shall be indicated in said certificate, and a reasonable period of time shall be given to the CONTRACTOR for proper correction. In the event the OWNER deems that the work is in conditions of being utilized, without any obstacle for its use, and is in accordance with the Occupational Safety and Health regulations as well as environmental protection rules, the Provisional Acceptance shall be carried out. In opposite case, a new period shall be established for a new revision for the Provisional Acceptance of the works. If the CONTRACTOR has not made such corrections or repairs with the times established, such corrections shall be carried out directly by the OWNER, who shall deduct the cost from the guarantee retention.

Said deducted amounts shall be accepted by the CONTRACTOR, having no right to any claim.

If the deduction from the guarantee retention dies not cover all corrections or repairs made by the OWNER due to failure of the CONTRACTOR, the CONTRACTOR shall recognize himself as debtor of the excess and shall pay the OWNER upon his request.

After all said repairs or corrections have been completed, the OWNER shall write a certificate of Provisional Acceptance, and a ten days time shall be granted to the CONTRACTOR for signing such certificate.

<u>THIRTY FOURTH</u>.- Anticipated use of the works. The OWNER reservers the right to use certain works or part thereof before the works under this Contract have been completed in its totality either for operation necessities or to carry out works which do not form a part of the Contract.

If the OWNER wishes to make use of this right, he shall inform the CONTRACTOR of the areas and dates required, with sufficient time in advance.

Prior to the indicated dates, a Provisional Acceptance of the units or parts of the agreed work shall be made. A certificate shall be written prior to the use of the works by the OWNER.

<u>THIRTY FIFTH</u>.- Guarantee period. The Guarantee Period shall be ..... months form the date the Certificate of Provisional Acceptance has been signal by both OWNER and CONTRACTOR.

During above time the CONTRACTOR shall make good all construction defects and shall be responsible for preservation of the works carried out by him. The OWNER shall give the CONTRACTOR a reasonable period of time for correction of the detected defects, and if the CONTRACTOR does not comply with this time, the ONWER shall execute the work and deduct the cost from the guarantee retention.

In those cases when partial acceptance have been made for anticipated use of the works, the Guarantee Period of the accepted parts shall start from the date of the respective partial acceptances.

<u>THIRTY SIXTH</u>.- Works settlement. After provisional acceptance of the works, the CONTRACTOR shall submit to the OWNER a final certification valued in accordance with the Contract terms, with the measurement attached and all technical documentation (such as "as built drawings", test reports, etc.) which have not been submitted during the course of the works and are listed in contractual documents.

The OWNER shall notify the CONTRACTOR of his acceptance of objections.

Once the settlement of the works has been approved, the certification for the remainder of the work may be granted, which is pending in accordance with the settlement approved.

<u>THIRTY SEVENTH</u>.- Final acceptance. Within the month following the expiration of the Guarantee period, both OWNER and CONTRACTOR shall proceed with the final acceptance of the works.

If the works are in conditions of being accepted according to the OWNER's judgement, works shall be accepted in final manner, the CONTRACTOR being relived from all responsibility, except responsibility referring to concealed construction defects or fraudulent breach of contract by the CONTRACTOR in line with the stipulations of the Civil Code, to which effects the CONTRACTOR shall be responsible for these damages during ten years period. When this time is elapsed the CONTRACTOR's responsibility shall be entirely expired.

In the event the works are in no conditions of acceptance, the OWNER shall give the CONTRACTOR the necessary instructions for due repairs of the defects giving a new and last period of time to properly comply with this obligations.

During said time extension, the same provisions of Thirty Third clause shall govern.

<u>THIRTY EIGHTH</u>.- Final Settlement. The final settlement shall be carried out by the OWNER within thirty days time from the date of the Final Acceptance.

The CONTRACTOR shall indemnify and hold OWNER exempt from all claims, charges, workers responsibility, material suppliers and of any and all claims and retention rights, retention, responsibilities, liens, seizures, lawsuits or charges on the works and / or the site, which originate from works and repairs carried out or to be carried out and from materials supplied by the CONTRACTOR under this Contract.

The CONTRACTOR shall relieve the OWNER from responsibility for all claims filed by third party which are based on damages to the PROPERTY, death or bodily injures or injures to animals, as well as legal or extra legal costs and expenses, including lawyers and solicitor fees.

At any time the OWNER has evidence of responsibility, charges, claims, etc., at his sole discretion he shall have the right to apply any retained amount to satisfy or pay such responsibilities, charges, claims or rights. If the indemnity to be paid by the OWNER for these conceeuros exceeds the retained amounts, the CONTRACTOR binds himself to indemnify the OWNER for the amounts not covered by above mentioned retention.

The CONTRACTOR shall indemnify the OWNER for damages originates for whatever reason when such damages are caused by the CONTRACTOR, his agents, operators or employees or are in general originated by any type of fault or negligence of the CONTRACTOR.

Within thirty days time, the CONTRACTOR shall give his approval or objections to said Final Settlement.

At such time the CONTRACTOR shall hand over to the OWNER a written statement indicating that all payments to personnel, suppliers, entities or agencies in connection with this Contract have been duly settled.

After the Final Settlement has been approved by both OWNER and CONTRACTOR the balance of retention for guarantee and bonds shall be returned after deduction of charges or retention for penalties and corrections of defects.

<u>THIRTY NINETH</u>.- Temporary of final suspensions. The temporary or final suspensions may be total or partial, depending or whether they affect the entire works and services carried out by the CONTRACTOR or only a part of them or clear definition, which execution may be separated from the entire works.

Temporary suspension attributable to CONTRACTOR.

The CONTRACTOR shall be responsible for the temporary, total or partial suspension in the following cases :

When the contracted works are stopped during a period of time exceeding five working days, without having received notice or written order from the OWNER not any of the causes of force majeure have occurred.

When the suspension is ordered by the OWNER for reasons attributable to the CONTRACTOR. If there is contradiction with the CONTRACTOR, the responsibility shall be determined in accordance with the procedure indicated on Forty Third clause.

When the CONTRACTOR resumes the work, he shall repair at his expense all possible damages which affect the works under way, having no right to any extension of the works completion final.

Temporary suspension attributable to the OWNER.

If the temporary suspension of the works is ordered by the OWNER for reasons attributable to him, the CONTRACTOR shall have a right to an indemnity for those direct expenses which have actually occurred, or request cancellation of the Contract if the suspension of the contracted works in total and the suspension time exceeds 30 days or if the effects are irreparable.

Whenever a temporary suspension takes place, both OWNER and CONTRACTOR shall sign a certificate explaining the causes and reasons for such suspension, indicating the requesting party.

Said certificate shall indicate the work units carried out, status of the works and a many data as are considered necessary to determine the respective position of the parties at the time of the suspension.

When the reasons which caused the temporary suspension are settled, both parties shall subscribe a certificate of resumption of the works, indicating the date when the works shall be resumed including all data deemed necessary for best definition of the future program of the works.

Final suspension attributable to the CONTRACTOR.

Works partial suspension

A partial and final suspension of the works is understood when it has been notified by the CONTRACTOR or three weeks have been elapsed after the follow up of the suspended works carried out by the OWNER.

In this case the OWNER shall apply a penalty to the CONTRACTOR equal to the amount of the bond of the suspended works, said works being automatically segregated from the Contract.

A certificate shall be written indicating present status of the works in order to proceed with the acceptance and settlement.

Works total suspension

This a cause for Contract cancellation and the provions of Fortieth clause shall be applied.

Final suspension attributable to the OWNER.

The OWNER shall inform the CONTRACTOR in writing of the part of the work which is suspended and the provisions of Twenty Fifth clause shall be applied.

FORTIETH.- Causes for cancellation of the Contract. The causes for cancellation of the Contract on the part of the OWNER shall be as follows :

Extinction of CONTRACTOR's legal entity.

CONTRACTOR's bankruptcy or suspension of payments.

CONTRACTOR's failure to supply personnel, plant and equipment and installations in accordance with his commitment which are necessary for the works and were agreed upon with the OWNER.

The CONTRACTOR states that the equipment offered is sufficient for successful completion of the work. The CONTRACTOR shall request the OWNER's authorization to withdraw any machine from the site which is assigned to the works.

In opposite case the CONTRACTOR shall be obliged to increase the number of the equipment in order to meet the established time and such machinery shall be considered as assigned to the works.

The final suspension of the works by the CONTRACTOR, without the OWNER's written order and without causes of Force Majeure, as defined on Twenty Eighth clause.

The variations exceeding 30% of the amount of the works and providing there is no previous agreement in prices and times.

The existence of services defects in the material execution of the works.

Serious defects are those which may involve the lasting or life foreseen for the works or installations or which affect safety during the execution.

Failure to contract and keep current the insurance policies mentioned in this Contract.

Non payment of the penalties agreed.

Delay in the time of execution exceeding 10% of the partial times in which there are penalties, or on the total time.

The non compliance of other contractual obligations.

The existence of any of these causes shall be freely considered by the OWNER, regardless of the actions that the CONTRACTOR deems applicable.

When one of these causes arises the OWNER may resolve either totally or partially in respect of the non-complied part of the Contract, with the loss of the bond applicable to the cancelled part.

If the OWNER finds the existence of the causes which are reason for cancellation of the Contract and decides to do so, he shall notify the CONTRACTOR in writing within ten days time.

The cancellation of the Contract by the OWNER for reasons imputable to the CONTRACTOR shall produce the following effects:

The definition of the works carried out and of materials procured by the CONTRACTOR shall be made in an authentic document, with the assistance and knowledge of the CONTRACTOR himself.

A certificate of Provisional Acceptance of the executed works shall be written giving evidence of the agreement or deficiencies observed by the OWNER in the services carried out until that time.

The OWNER shall suspend the payment of the amounts pending collection by the CONTRACTOR, until Final Settlement.

The OWNER considers himself compensated of possible damages caused by the CONTRACTOR with the execution of the bond and the totality of the penalties established in the Contract, having the CONTRACTOR no right to any claim.

Within one month time after notification the OWNER may have access to the works and take possession of them and of materials procured by the CONTRACTOR who shall request in writing the withdrawal of this machinery.

If the OWNER retains the CONTRACTOR's machinery to go on with the works, he shall do it as lessee, with a right to sublease, and paying to the CONTRACTOR the amount agreed with him. In case of discrepancy on the prices both parties shall submit themselves to the arbitration indicated on the Forty Third clause.

The causes for cancellation of the Contract by the CONTRACTOR shall be as follows :

Bankruptcy or suspension of payments of the OWNER.

Final suspension for reasons attributable to the OWNER.

Unjustified delay of the payments of the agreed price in accordance with the terms of present Contract in excess of three months.

If the CONTRACTOR finds the existence of any of the causes which are reason for cancellation of the Contract, and decides to do so, he shall notify the OWNER in writing within ten days time. In any case the CONTRACTOR may choose to cancel the Contract or negotiate new contractual conditions.

The cancellation of the Contract by the CONTRACTOR shall procedure the following effects :

The status of the works accomplished and of materials procured at the time execution of the works is suspended, shall be reflected on a certificate in an authentic manner.

The CONTRACTOR shall request from the OWNER to proceed with the Provisional Acceptance of the works carried out writing a certificate stating in detail the OWNER's agreement or objections on said works.

A valuation of the executed work shall be made on the date of the notice to the CONTRACTOR, as well as a valuation of all procured materials taking as a basis the price justification. The CONTRACTOR shall submit an estimate of indirect costs in accordance with prices justification, broken down into fixed and variable expenses. The percentage of non executed works shall be applied to the fixed expenses and the percentage of pending time to the variable expenses.

In those cases when both OWNER and CONTRACTOR state that the Contract is cancelled, the Provisional Acceptance shall be carried out of those works or services which have been executed or constructed by the CONTRACTOR.

A certificate shall be written of such Provisional Acceptance which shall reflect the status of the work or service at the time of the cancellation.

The certificate of Final Acceptance shall be issued with the same requirements and conditions indicated in this Contract.

<u>FORTY FIRST</u>.- Expenses originated by the Contract. These are for the OWNER's account and are not included in CONTRACTOR's prices, these are as follows :

Payment of the Added Value Tax (IVA)

Procedures for obtaining the required permits to commence the works.

Insurance policies indicated in this Contract as for the OWNER's account.

The following expenses shall be for the CONTRACTOR's account.

Insurance policies indicated in this Contract as for the CONTRACTOR's account.

All permits, licenses and levies required to carry out the execution of the works.

<u>FORTY SECOND</u>.- Public document. Upon request of one of the parties, this Contract may be converted into a public document. Charges and taxes deriving from this concept shall be for the requester's account, except that it may be caused due to non-compliance of contractual obligations of the other party, in such case charges and expenses shall be paid by the originator.

<u>FORTY THIRD</u>.- Issues or differences of litigious nature. For the settlement of issues or differences of litigious nature which may arise from the execution of this Contract, the parties shall abide by the Law of Private Arbitration of December 1953. It shall be an equity arbitration and be held in Madrid.

In case of litigation, the parties submit themselves to the ordinary jurisdiction of the Court of Madrid.

BY THE OWNER	BY THE CONTRACTOR
Signed	Signed .....

A N N E X E S

GUARANTEE
(Quality Guarantee)

The Bank **(*)** ....., represented by Mr..... aware of the Contract / Order ..... for the construction / supply of .....

G U A R A N T E E S

Irrevocably, joint and severally, and expressly renouncing the rights of division and surety of ..... (Company Guaranteed) before ....., hereinafter the CLIENT, up to a limit of Euros. ..... (.....), as definitive security and guarantee of the faithful fulfilment of the aforementioned Contract / Order, and in accordance with the scope and conditions established in same, and therefore encompassing the present and future responsibilities of said Contract / Order.

By virtue of the above, the Bank **(*)** ..... agrees to pay the CLIENT immediately upon receiving a simple petition in writing, which need not be made by a commissioner for oaths, any amount solicited by the latter up to the total amount of this Guarantee, without restriction of any kind, and without the provisions of Section 1840 of the Civil Code causing any impediment or delay to the payment of the amounts claimed by the CLIENT.

This Guarantee shall remain valid until .....,
in accordance with the terms and conditions established in the aforementioned Contract / Order.

The signatories of this Guarantee are duly authorised to represent and oblige the Entity providing the Guarantee, in accordance with the deed of proxy authorised by the Commissioner of Oaths, Mr. ....., on ..... (year) ....., with Protocol Nº .....

In ..... on .....……..... 20 .....

(*) Insurance Companies are not admissible

GUARANTEE
(Payments on Account)

The Bank **(*)** ....., represented by Mr. ..... aware of the Contract / Order ..... for the construction / supply of.....

G U A R A N T E E S

Irrevocably, joint and severally, and expressly renouncing the rights of division and surety of ..... (Company Guaranteed) before ....., hereinafter the CLIENT, up to a limit of Euros. ..... (..... .....), as definitive security and guarantee of the faithful fulfilment of the delivery of the materials protected in the aforementioned Contract / Order, and therefore encompassing the present and future responsibilities derived from same.

By virtue of the above, the Bank **(*)** ..... agrees to pay the CLIENT immediately upon receiving a simple petition in writing, which need not be made by a commissioner for oaths, any amount solicited by the latter up to the total amount of this Guarantee without restriction of any kind, and without the provisions of Section 1840 of the Civil Code causing any impediment or delay to the payment of the amounts claimed by the CLIENT.

This Guarantee shall be fully valid unless the CLIENT decides to authorise its cancellation by means of a registered letter to the Bank ..... returning this document.

The signatories of this Guarantee are duly authorised to represent and oblige the Entity providing the guarantee, in accordance with the deed of proxy authorised by the Commissioner for Oaths, Mr. .....on ..... (year) ....., with Protocol Nº.....

In ..... on ..... 20 .....

(*) Insurance Companies are not admissible.

CERTIFICATE OF DEPOSIT

Mr. ....., with National Identity Card Nº..... by profession, in his capacity as ....., for the Company ...., in accordance with powers executed in writing by the Commissioner for Oaths ..... with the Protocol Nº....., and currently in force,

C E R T I F I E S

That the materials listed below, and which have been invoiced by this company according to invoice nº ....., contained in order nº....., are wholly owned by ....., and that they are located in our warehouses as deposit, and therefore said company may remove them when it sees fit to do so, without any additional cost.

(List of Materials)

In testimony whereof for the appropriate purposes, this certificate is signed in ..... on..... 20.....